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Luxshare Precision Industry Co., Ltd. | Asia Pacific

2Q26 Results In-line, FX Loss Introduces Good Buying Opportunity, OW

AlphaSignals Earnings Reaction

Strengthens our thesis	In-line	Largely unchanged
Impact to our thesis	Financial results versus consensus	Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Key Takeaways

- An FX loss dragged down 1H26 earnings, presenting a good buying opportunity, in our view.
- GPM improving on mix optimization.
- 9M26 earnings growth to reach 15-25% YoY.

Upbeat revenue with in-line profit: 1H26 revenue reached Rmb174.5bn, up 40% YoY, driven by both organic volume growth and the consolidation of Leoni. Net profit came in at Rmb7.84bn, up 18% YoY. Due to a significant FX loss, financial costs surged to Rmb2.24bn from Rmb160mn in 1H25. Luxshare partially offset this via generating Rmb1.297bn in hedging gains. However, as the hedging gains were classified as non-recurring items, it has dragged Luxshare's earnings performance in 1H26. The company also issued an interim cash dividend of Rmb1.1 per 10 shares.

Auto Electronics: significant growth on Leoni consolidation: The auto electronics segment revenue surged 274% YoY, making it the fastest-growing segment. The Leoni integration is well on track – overall operating performance exceeded forecasts, with synergies across global manufacturing networks, customer resources, supply chains, and operational management capabilities.

Communications & Data Center: accelerated growth momentum: The communications and data center segment revenue rose 50% YoY with positive growth momentum from high-speed electrical connections, transceivers, thermal management and power management products.

Blended GPM improved to 11.78%, up 0.17ppt YoY, mainly thanks to more rapid growth from auto electronics (GPM at 17%) and communication/data center segments (GPM at 14%).

Three key drivers in 2H26: 1) New consumer electronics product launches, 2) Accelerated mass production of high-speed electrical connections, transceivers and thermal management products and 3) Positive contribution from Leoni integration synergies and expanded global automotive customer wins.

MORGAN STANLEY ASIA LIMITED+

Andy Meng, CFA

Equity Analyst

Andy.Meng@morganstanley.com

+852 2239-7689

Betty Chen

Research Associate

Betty.H.Chen@morganstanley.com

+852 2239-7213

Luxshare Precision Industry Co., Ltd. (2475.HK, 2475 HK)

Greater China Technology Hardware | China

Stock Rating	Overweight
Industry View	In-Line
Price target	HK\$80.00
Up/downside to price target (%)	36
Shr price, close (Aug 24, 2026)	HK\$58.85
52-Week Range	HK\$66.15-50.95
Sh out, dil, curr (mn)	-
Mkt cap, curr (mn)	Rmb389,406.0
EV, curr (mn)	Rmb413,390.3
Avg daily trading value (mn)	HK\$446

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	2.3	2.4	3.0	4.1
Prior EPS (Rmb)**	-	-	-	-
EPS (Rmb)§	-	-	-	-
Revenue, net (Rmb mn)	332,344.4	396,372.1	457,921.5	541,144.7
EBITDA (Rmb mn)	34,515.6	39,391.0	44,832.9	56,227.0
ModelWare net inc (Rmb mn)	16,599.8	18,898.6	22,932.7	31,831.0
P/E	-	20.6	17.0	12.2
P/BV	-	3.2	2.8	2.3
RNOA (%)	16.1	14.6	14.1	19.2
ROE (%)	19.6	18.2	19.0	22.7
EV/EBITDA	12.6	10.8	9.1	6.8
Div yld (%)	-	0.6	0.8	1.1
FCF yld ratio (%)**	-	(3.3)	5.9	7.0
Leverage (EOP) (%)	17.2	25.9	8.0	(7.0)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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Results Summary

Exhibit 1: 2Q26 Results Review

(Rmb mn)	2Q26	2Q25	YoY	1Q26	QoQ
Net sales	90,616	62,715	44%	83,888	8%
Gross profit	10,554	7,548	40%	10,000	6%
% GPM	11.6%	12.0%	-0.4%	11.9%	-0.3%
Operating expense	(6,407)	(4,430)	45%	(6,570)	-2%
Promotion	(144)	(273)	-47%	(722)	-80%
ADM	(2,711)	(1,707)	59%	(2,827)	-4%
R&D	(3,552)	(2,449)	45%	(3,021)	18%
% OPEX	3.9%	3.9%	0.0%	3.6%	0.3%
Operating income	4,147	3,118	33%	3,430	21%
% OPM	4.6%	5.0%	-0.4%	4.1%	0.5%
Non-operating income	1,025	1,200	-15%	861	19%
Pre-tax income	5,172	4,318	20%	4,291	21%
Income tax	(614)	(397)	54%	(323)	90%
% effective tax	11.9%	9.2%	2.7%	7.5%	4.3%
Net income	4,183	3,601	16%	3,660	14%
% NPM	4.6%	5.7%	-1.1%	4.4%	0.3%

Source: Company data, Morgan Stanley Research

Valuation Methodology and Risks

Luxshare Precision Industry Co., Ltd. (2475.HK)

Base-case scenario value, derived from a residual income model. We assume a cost of equity of 11%, a medium-term growth rate of 18% and a terminal growth rate of 3%.

Risks to Upside

- Faster-than-expected AI infrastructure and data center growth.
- Greater-than-expected foldable iPhone adoption and component content gains.
- Better-than-expected growth in communications and automotive electronics businesses

Risks to Downside

- Worse-than-expected smartphone and wearable device demand.
- • Slower customer qualification in AI infrastructure products.
- Margin pressure from intensified competition.

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(as of July 31, 2026)

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Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

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Luxshare Precision Industry Co., Ltd. (2475.HK) - As of 08/24/26 GMT in HKD
Industry : Greater China Technology Hardware



Stock Rating History: 8/14/26 : 0/I

Price Target History: 8/14/26 : 80

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

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INDUSTRY COVERAGE: Greater China Technology Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/24/2026)
Andy Meng, CFA		
AAC Technologies Holdings (2018.HK)	O (01/29/2024)	HK\$39.38
Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb166.39
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$23.18
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb7.41
Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb16.10
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb412.00
Genius Electronic Optical Co. Ltd. (3406.TW)	E (04/23/2025)	NT\$657.00
GoerTek Inc (002241.SZ)	E (08/14/2026)	Rmb23.48
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.38
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb34.15
Largan Precision (3008.TW)	O (07/10/2026)	NT\$5,385.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb6.52
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb12.08
Lingyi Itech Guangdong Co (1688.HK)	O (08/14/2026)	HK\$6.18
Luxshare Precision Industry Co., Ltd. (2475.HK)	O (08/14/2026)	HK\$58.85
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb53.72
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb6.94
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK\$6.18
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb56.99
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK\$41.00
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb56.71
Sunny Optical (2382.HK)	E (03/23/2026)	HK\$60.20
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb249.50
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb17.20
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$27.82
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb379.19

Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK\$140.80
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb104.90
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb25.24
Zhongji Innolight Co Ltd (300308.SZ)	++	Rmb870.22
ZTE Corporation (0763.HK)	O (06/04/2026)	HK\$23.30
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb33.13
Derrick Yang		
Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$2,070.00
Advantech (2395.TW)	O (01/20/2021)	NT\$658.00
AirTAC International (1590.TW)	O (04/16/2025)	NT\$1,435.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$2,855.00
AU Optronics (2409.TW)	E (02/10/2026)	NT\$25.25
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$1,015.00
Bizlink (3665.TW)	O (03/10/2025)	NT\$2,050.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb5.75
Chenbro (8210.TW)	O (07/23/2025)	NT\$967.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$2,070.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$1,735.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT\$158.50
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$57.20
Fositek Corp (6805.TW)	O (06/25/2025)	NT\$1,710.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT\$343.50
Innolux (3481.TW)	E (04/07/2025)	NT\$45.45
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$14,410.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb37.95
Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$287.00
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.92
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb6.41
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb213.70
Howard Kao		
Acer Inc. (2353.TW)	U (04/23/2025)	NT\$31.10
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT\$923.00
Catcher Technology (2474.TW)	U (11/17/2025)	NT\$204.50
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$41.60
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK\$4.85
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb60.40
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT\$341.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$948.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$243.50
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb73.22
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT\$2,765.00
Lenovo (0992.HK)	O (07/10/2026)	HK\$29.64
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$1,610.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT\$1,135.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT\$89.30
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$325.00
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb126.30
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb343.63
Unimicron (3037.TW)	O (02/23/2026)	NT\$1,075.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$381.50
Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$175.50
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT\$6,300.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT\$551.00
Zhen Ding (4958.TW)	++	NT\$435.50

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